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UNITED STATES BANKRUPTCY COURT
DISTRICT OF IDAHO

In re: SHAWN CUTTING, and JANINE CUTTING Debtors. --- ACTING UNITED STATES TRUSTEE, REGION 18, Plaintiff, SHAWN CUTTING, and JANINE CUTTING Defendants.	Case No. 25-20068-NGH Chapter 7 Adv. No. 25-07006-NGH

COMPLAINT OBJECTING TO DISCHARGE UNDER 11 U.S.C. § 727(A)

Plaintiff, Acting United States Trustee Jonas V. Anderson for Region 18 ("United States Trustee"), for his complaint objecting to the discharge of Defendants Shawn Cutting and Janine Cutting ("Defendants"), alleges as follows:

Jurisdiction and Venue

1 The United States Bankruptcy Court has jurisdiction over this adversary proceeding under 28 U.S.C. § 1334(a) and 28 U.S.C. § 157. This matter is a core proceeding under 28 U.S.C. § 157(b)(2)(J) and (O). Venue is proper in this Court. 28 U.S.C. § 1409(a).

2 This complaint is timely filed.

3 Plaintiff is the Acting United States Trustee for Region 18, which includes the District of Idaho.

4 On information and belief, Courtney Lata is Defendants' adult child.

Defendants' History of Bankruptcy Filings

5 On March 21, 1996, the Defendants filed a chapter 13 bankruptcy in the District of Idaho as Case No. 96-00682. No plan was confirmed, and the case was dismissed on December 10, 1996.

6 On February 14, 1997, the Defendants filed a chapter 7 bankruptcy in the District of Idaho as Case No. 97-00408. This was a "no asset" case, and the Defendants received a discharge in that case on May 21, 1997.

7 On August 19, 2002, the Defendants filed another chapter 7 bankruptcy in the District of Idaho as Case No. 02-02703. The case was dismissed based upon Defendants' failure to appear at the 341 meeting. The Defendants successfully moved to reopen the case and then converted the case to chapter 13. No plan was confirmed, and the case was ultimately dismissed on September 16, 2003.

8 On October 31, 2003, the Defendants filed another chapter 13 bankruptcy in the District of Idaho as Case No. 03-03999. The case was subsequently converted to chapter 7, the Defendants received a discharge on April 29, 2004, and the case was closed as a "no asset" case.

9 On April 16, 2024, the Defendants filed a chapter 7 bankruptcy in the District of Idaho as Case No. 24-20115 (the "2024 Bankruptcy"). The Defendants never filed schedules, a statement of financial affairs or other documents and the case was ultimately dismissed on September 16, 2024. However, the Defendants did appear and were questioned under oath at a continued 341 meetings of creditors that was conducted on July 25, 2024.

10 On March 13, 2025, the Defendants, Shawn and Janine Cutting, filed the above captioned bankruptcy case, in which they are the Debtors ("Current Bankruptcy").

Defendants' Business and Employment History

11 From approximately 1993 to 2008, the Defendants owned and operated several floor covering businesses.

12 From 2008 to 2013, Mr. Cutting worked in construction and the Defendants were both involved with network marketing with ViSalus Sciences, SISEL Industries. They were regional directors of a multi-level marketing business in the health and nutrition industry.

13 From approximately 2015 to 2017, the Defendants were senior marketing directors for World Financial Group (WFG). The Defendants operated their own insurance sales business and were paid a percentage on policies or services they sold. Only Mrs. Cutting "went through all the licensing, passed all the tests and all the producer licenses and everything else that needed to be done for any policy that needed to be written," but they both worked together to sell, market, and find customers.

Crypto Trading, Creation of Trusts, and Litigation/Judgments

14 After becoming frustrated with WFG, Mr. Cutting was introduced to cryptocurrency from a friend, and as Mr. Cutting puts it, "[he] had no idea what it was, and so [he] started dabbling in [it]."

15 In or around February or March of 2017, Mr. Cutting invested $900 in crypto and by the end of 2017 his investment had grown to over $100,000.

16 Mr. Cutting testified that in October 2017, one of his friends on social media asked him what he was doing. After Mr. Cutting explained to him what he had been doing, investing in cryptocurrency, his friend apparently asked if Mr. Cutting could help him. Mr. Cutting testified that after about a week he agreed to do it.

17 Mr. Cutting testified that his friend then asked him to help another friend in connection with helping that friend-of-a-friend's mom retire, and then one of them apparently created a Facebook page and added all his friends.

18 According to Mr. Cutting, "[they]" talked at every place [they] could in the state of Idaho, saying, 'what's it take to open a trading company for crypto,' and everybody [they] called said, 'There is no licensing, there's nothing required, there's nothing,' and so [they] started doing that."

19 On or about January 22, 2018, Mr. Cutting formed Crypto Traders Management, LLC ("Crypto Traders Management") as an Idaho Limited Liability Company.

20 On or around February 4, 2018, the Defendants caused the Lake View Trust to be created with Shawn Cutting, as the Initial Trustee, and Shawn and Janine Cutting together as the "Compliance Officer and Protector of the Trust."

21 The Defendants' Crypto Trading Management business ultimately obtained over 450 "investors." According to Defendant Shawn Cutting's testimony, one of the investors asked for his money or investment back when the market was down, which ultimately led to a lawsuit, and then the SEC got involved.

22 On March 5, 2021, the SEC filed a Complaint in the United States District Court, in the District of Idaho, as Case No. 2:21-cv-00103-BLW, against Defendants Shawn and Janine Cutting, Crypto Traders Management, Golden Cross Investments, LLC, the Lake View Trust and the Tyson Trust. The Tyson Trust is another trust the Defendants set up at or around the time they set up the Lake View Trust.

23 The SEC Complaint included the following allegations:

(a) Since at least October 2017 to present ("Relevant Period"), Cutting has raised at least $6.9 million from over 450 investors by representing that he is a seasoned financial adviser who would pool their money to trade digital assets and return a profit. In truth, Cutting had no experience as a financial adviser, and rather than invest investor money as promised, Cutting used much of the money to pay for various personal expenses, including home improvements, cars, and his daughter's wedding.

(b) Since February 2020, Cutting has either ignored or denied investor requests to withdraw their funds, instead offering excuses, including that his inability to process withdrawals was caused by his efforts to comply with state and federal laws.

24 Both Defendants testified at an examination under oath pursuant to Federal Rule of Bankruptcy Procedure 2004 ("2004 examination" conducted by the US Trustee on August 13, 2025) that they never solicited people or investors in Crypto Traders Management, and that neither of them "solicited one person." Mr. Cutting testified that "[t]hey all came to us. They would not stop coming to us." He indicated that people would come to their house and would ask what they're doing. Defendants lived in a 6,500 square foot house located at 374 Rogstad Powerline Road, Blanchard, ID 83804 ("Blanchard Home"), which will be discussed in more detail below. Defendants completed construction of the Blanchard House in 2017 or 2018 with money they made from crypto.

25 The SEC lawsuit ultimately resulted in a Final Judgment being entered on March 29, 2024, against Defendant Shawn Cutting for a civil penalty in the amount of $6,899,969, against Defendant Janine Cutting for disgorgement in the amount of $57,916 together with prejudgment interest in the amount of $1,404, and against other businesses or trusts that were owned or controlled by the Defendants for disgorgement of specific amounts.

26 The Powell Lawsuit resulted in the court granting summary judgment and default judgment against Defendant Shawn Cutting and Crypto Trading Management.

27 The Defendants disclosed the Powell Lawsuit and the SEC Lawsuit in response to Question 9 of their statement of financial affairs that they filed with their bankruptcy petition but didn't initially disclose these claims in their schedules.

Undisclosed Business Interests & Connections, and Concealed Account(s)

28 On February 10, 2025, approximately one month prior to filing the current bankruptcy, Defendant Janine Cutting formed My Brow Gal, LLC ("My Brow Gal") by filing a Certificate of Organization with the Idaho Secretary of State. The Defendants' daughter Courtney Lata was identified as the registered agent and Janine Cutting was listed as the Governor and signed the Certificate of Organization as the Organizer.

29 On February 27, 2025, just two weeks prior to filing the current bankruptcy, Defendant Shawn Cutting formed Blackout Mulching and Land Clearing LLC ("Blackout Mulching") by filing a Certificate of Organization with the Idaho Secretary of State. The Tyson trust was listed as the Governor and Shawn Cutting signed the Certificate of Organization as the Organizer.

30 Neither of these businesses were disclosed in the Defendants schedules, nor were they disclosed in response to Question 27 of their statement of financial affairs which required their disclosure of any businesses they owned or had certain connections to in the four years prior to filing for bankruptcy. The only business that the Defendants disclosed was Blackout Unlimited, LLC, not as being self-employed with Blackout Mulching. Defendant Janine Cutting identified herself as unemployed and did not disclose her self-employment at My Brow Gal.

31 In response to Question 17 of the Defendants' Schedule A/B, where the Defendants were required to disclose any ownership or legal or equitable interest in "Deposits of money," including checking, savings, or other financial accounts, the only account Defendants disclosed was a "Business Account" at Umpqua Bank. The Defendants indicated that such account had a value of $200 as of the Petition Date.

32 The "Umpqua Bank - Business Account" that Defendants disclosed in their schedules was a bank account for Blackout Unlimited, LLC. Upon information and belief, this account was used for both personal and business expenses. Defendants have testified that they don't have a personal bank account. As of December 31, 2024, the Defendants had a negative balance in the Umpqua Bank – Business Account. On or

around February, 11, 2025, prior to the Petition Date, the bank wrote off the negative balance and closed the account.

33 The Defendants failed to disclose the bank account for Blackout Mulching, which upon information and belief was used for personal and business purposes at the time of the bankruptcy filing and afterwards.

Account Statements and Document Production

34 On May 1, 2025, the United States Trustee sent an email to Defendants' counsel requesting copies of account statements for all financial accounts owned or controlled by the Defendants, or to which they had signatory authority covering the period of January 1, 2023 through March 31, 2025, including any such accounts for the Lake View Trust.

35 On May 20, 2025, the Chapter 7 Trustee sent an email to Defendants' counsel requesting the same account statements that the United States Trustee requested.

36 On May 27, 2025, the United States Trustee received a response from the Defendants that was forwarded by their counsel's office. Defendants' response indicated that the only bank accounts for the Lake View Trust were at Bank of America and Mountain West Bank, which they claim had been shut down for years due to no activity with the trust. The Defendants did not produce any account statements in this initial response to the United States Trustee and Chapter 7 Trustee's request for documents.

37 On June 25, 2025, the United States Trustee received a response email from Defendants' counsel's office, which provided additional information and attached documents in an inaccessible format. On July 3, 2025, the United States Trustee was provided the same documents in an accessible format. The only bank statement produced was for a Blackout Mulching bank account with Numerica Credit Union with an account number ending with *8500 covering the period of March 1, 2025 through March 31, 2025. The statement showed a beginning balance of $1,362.06, which was a clear indication that the account was opened prior to March 1, 2025, but no other account statements were provided. Nor were any other bank account statements produced.

38 On July 21, 2025, the United States Trustee filed a Motion to conduct a Rule 2004 examination of the Defendants, along with a request for an order requiring the Defendants to produce, among other things, the previously requested account statements but now covering the period of January 1, 2023 through June 30, 2025, and a list of all accounts and the financial institutions where such accounts were held for accounts where no statements were produced.

39 On August 12, 2025, the Court entered an Order granting the motion requiring the Defendants to appear to be examined under oath on August 13, 2025, and ordering them to produce requested documents and other information.

40 On August 12, 2025, the Defendants, through counsel, produced bank statements for a Blackout Unlimited account at Umpqua Bank with an account number ending *5859 covering the period of October 2023, which appears to be when the account was opened and February 11, 2025, which is the date that Umpqua Bank apparently wrote off the negative balance in the account as a "Loss Charge Off" and closed the account. Again, this was the only account that the Defendants disclosed in their schedules, and it was actually closed as of the Petition Date.

41 The Defendants also produced two letters from Mountain West Bank indicating that Mr. Cutting and Blackout Unlimited both hold "Charged Off" accounts with Mountain West Bank, but no actual statements were provided.

Interest in Foreclosed Home and Failure to Disclose Prior or Expected Income Therefrom

42 On or around December 10, 2024, shortly after the 2024 Bankruptcy was dismissed, Mr. Cutting as Trustee of the Lake View Trust and both Defendants as guarantors on a certain loan from Legacy Investment Group (II) LLC and Delaney Investments LLC (the "Lenders") entered into an Agreement with the Lenders related to the Foreclosure of a Deed of Trust lien against the Sandpoint Property and the Cocolalla Lots.

43 Defendants indicated they would not file for bankruptcy until after the foreclosure of the Sandpoint Property and Cocolalla Lots. Defendants were allowed to live at the Sandpoint Property after the foreclosure at no cost other than paying for utilities, and were going to be compensated $20,000 to maintain, service, improve and assist with any eventual sale of that property.

COUNT I

(False Oath and Account – Failure to Disclose Business Interests and Connections, 11 U.S.C. § 727(a)(4))

44 The United States Trustee incorporates the preceding paragraphs as if alleged herein.

45 The United States Trustee is informed and believes and, based thereon, alleges the Defendants made the following material false oaths and accounts regarding their various business interests and connections:

(a) Failing to disclose their ownership interest in, or other connections to, My Brow Gal, LLC in response to question 19 of their Schedule A/B or question 27 of their statement of financial affairs;

(b) Failing to disclose their ownership interest in, or other connections to, Blackout Mulching and Land Clearing LLC in response to question 19 of their Schedule A/B or question 27 of their statement of financial affairs; and

(c) Testifying at their 341 Meeting of Creditors that their statements, schedules and documents filed in the bankruptcy were complete and accurate, that there were no errors or omissions, and that all of their assets were identified in their schedules.

46 The Defendants verified the false statements in their schedules and statement of financial affairs under penalty of perjury and they constitute false oaths.

47 The United States Trustee is informed and believes and, based thereon, alleges that the Defendants knowingly and fraudulently made the false oaths and accounts alleged above and that their discharge should be denied under 11 U.S.C. § 727(a)(4)(A).

COUNT X

(Failure to Produce Documents to Chapter 7 Trustee – Account Statements, 11 U.S.C. § 727(a)(4)(D))

48 The United States Trustee incorporates the preceding paragraphs as if alleged herein.

49 The Defendants withheld certain recorded information from the chapter 7 trustee, specifically account statements for all financial accounts owned or controlled by the Defendants.

50 The United States Trustee is informed and believes that the withholding of these documents was done knowingly and fraudulently and that the documents requested relate to the Defendants' property of financial affairs and that their discharge should be denied under 11 U.S.C. § 727(a)(4)(D).

COUNT XI

(Refusal to Obey a Lawful Order of the Court – 2004 Exam and Production of Documents, 11 U.S.C. § 727(a)(6))

51 The United States Trustee incorporates the preceding paragraphs as if alleged herein.

52 The Defendants had knowledge of the Court's Order requiring them to appear and be examined under oath pursuant to a Rule 2004 Examination and had

knowledge of the requirement within such Order to produce documents to the United States Trustee.

53 The Defendants failed to fully comply with the Court's Order by failing to produce timely the documents they were required to produce and as of the date of this Complaint they have still not produced all the requested documents. In addition, the Defendants did not make arrangements to allow for the examination to be completed, and they failed to appear at the continued 2004 examination at the date and time the parties agreed upon.

54 The United States Trustee is informed and believes the Defendants refusal to obey the Court's Order Granting the Acting United States Trustee's Motion for Examination of Debtors Under Fed. R. Bankr. P. 2004 is grounds for denial of the Defendants' discharge and that their discharge should be denied pursuant to 11 U.S.C. § 727(a)(6).

PRAYER FOR RELIEF

Wherefore, the United States Trustee respectfully prays for judgment denying Defendants' discharge, costs of suit, and for such other relief as the Court deems proper.

Date: December 18, 2025

JONAS V. ANDERSON
Acting United States Trustee for Region 18
/s/ Brett R. Cahoon
BRETT R. CAHOON
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